Lanka in the 1980s, and Maoist forces in Nepal in the 2000s. Yet, in many instances, these beneficiaries of Indian support subsequently adopted positions that opposed Indian interests. The interplay between international and domestic politics is never static.

Three, in addition to gradual democratization and growing nationalism, India's smaller neighbours now have viable alternative international partners to India, including in China. For decades, India resisted the more active role of major powers in what it perceived to be its immediate periphery. While India remains the primary external actor in its neighbourhood, and is unlikely to relinquish its position, China's role has certainly grown. The level and nature of China's influence differs from country to country. In Sri Lanka and the Maldives, it began as primarily economic, involving large-scale infrastructure investment, imports, and tourists. In Bangladesh, China enjoys longstanding defence relations, with Bangladesh having traditionally been the second-largest recipient of Chinese arms after Pakistan. In Nepal, Beijing plays an increasingly active political role, openly mediating between political parties and factions. [8] Chinese offers of overseas financing—whether aid or loans—have been used instrumentally in the Indian subcontinent, even if they have often contributed to economic distress or led to financially unviable projects.

While China's profile in India's neighbourhood is undoubtedly increasing, there is also a tendency on the part of some Indian observers to exaggerate it. In part, many Indians overlook the historical precedents. Nepal reached a border agreement with China in 1960. In the late 1980s, Kathmandu sought Chinese intelligence cooperation, military supplies, and project assistance in the Terai. Nepal was not alone in this respect. In the late 1970s, Beijing established regular military contacts with both Sri Lanka and Bangladesh and began to provide considerable military hardware to the latter. At the same time, many elements of India's relations with these countries—such as an open border with Nepal, defence arrangements with Bhutan, social links with Bangladesh, and aspects of trade with Sri Lanka—cannot be exactly replicated by China.